

Contestant Number: _____

Time: _____

Rank: _____



College Accounting (105)

STATE 2025

CONCEPT KNOWLEDGE:

Multiple Choice (15 @ 2 points each) _____ (30 points)

APPLICATION KNOWLEDGE:

Short Answer _____ (39 points)

Problem 1 – Journal Entries _____ (55 points)

Problem 2 – Sales Entries _____ (66 points)

TOTAL POINTS _____ ***(190 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice Questions

Directions: Identify the letter of the choice that best completes the statement or answers the question.

1. Inventory costing \$5,000 is sold for \$7,500 with terms 2/10, n/30. If the buyer pays within the discount period, what amount will be reported on the income statement as net sales?
 - A. \$7,500
 - B. \$5,000
 - C. \$7,350
 - D. \$2,500
2. If ending inventory is overstated, what will be the result?
 - A. Cost of goods sold will be understated and net income will be understated
 - B. Cost of goods sold will be overstated and net income will be understated
 - C. Cost of goods sold will be overstated and net income will be overstated
 - D. Cost of goods sold will be understated and net income will be overstated
3. The amount of uncollectible accounts at the end of the year is estimated to be \$20,000, using the percent of accounts receivable method. The balance in the Allowance of Doubtful Accounts account is \$7,000 credit before adjustment. What is the adjusted balance of the Allowance for Doubtful Accounts at the end of the year?
 - A. \$20,000
 - B. \$7,000
 - C. \$27,000
 - D. \$13,000
4. If the ending inventory is incorrectly calculated at the end of Year 1 but it is calculated accurately at the end of Year 2, what is the effect of this error by the end of Year 2?
 - A. Overstates Cost of Goods Sold and understates Net Income in Year 2
 - B. Understates Cost of Goods Sold and overstates Net Income in Year 2
 - C. Overstates both Cost of Goods Sold and Net Income in Year 2
 - D. It will self-correct by the end of Year 2
5. Pujols Inc. purchased \$200 of goods with invoice terms 1/10, n/30. The freight charges were \$20, and the goods were shipped FOB shipping point. If Pujols paid within the discount period, how much is the actual cost of the inventory?
 - A. \$200
 - B. \$198
 - C. \$218
 - D. \$202

6. Cabrera Co. uses a perpetual inventory system. On May 1, beginning inventory was \$350,000. During May, Cabrera purchased \$122,500 of inventory and sold \$248,500 of inventory. What was the amount of ending inventory on May 31?
 - A. \$14,000
 - B. \$224,000
 - C. \$262,500
 - D. \$11,000
7. Common internal control principles include all of the following, except:
 - A. Outsource work to third parties.
 - B. Restrict access to assets and information.
 - C. Segregate of duties.
 - D. Independently verify.
8. Ichiro Company has accounts receivable turnover of 13.6 while Suzuki Inc. has accounts receivable turnover of 15.75. Which of the following is true?
 - A. Ichiro Company's customers pay faster than Suzuki Inc.'s customers.
 - B. Ichiro Company's customers pay slower than Suzuki Inc.'s customers.
 - C. Ichiro Company's customers pay more than Suzuki Inc.'s customers
 - D. Ichiro Company's customers pay less than Suzuki Inc.'s customers
9. The main purposes of internal controls include all of the following except:
 - A. Providing more favorable financial information.
 - B. Prevention of error, theft, and fraud.
 - C. Promotion of operational efficiency.
 - D. Ensuring compliance with laws and regulations.
10. At the end of the year, Jeter estimates doubtful accounts to be \$12,500 based on an aging of accounts receivable. If the balance in the Allowance for Doubtful Accounts is a \$5,500 debit before adjustment, what is current year's Bad Debt Expense?
 - A. \$12,500
 - B. \$5,500
 - C. \$7,000
 - D. \$18,000
11. On September 1, Griffey Company lends \$12,000 to ARod who signs an 8%, 6-month promissory note. The Griffey Company is preparing its year-end financial statements on December 31. No adjusting entries have been recorded in connection with this note. How much interest should Griffey Company recognize on its year end Income Statement?
 - A. \$320
 - B. \$640
 - C. \$240
 - D. \$480

12. Assuming the cost of goods sold remains the same, which of the following would increase gross profit when merchandise is sold?
- A. Increase in merchandise costs
 - B. Increase in sales price
 - C. Increase in sales discount
 - D. Increase in the frequency of ordering merchandise
13. What effect does the adjusting entry to record estimated bad debts have on the accounting equation?
- A. Assets decrease and stockholders' equity decreases
 - B. Liabilities decrease and stockholders' equity increases
 - C. Assets increase and liabilities increase
 - D. Assets decrease and stockholders' equity increases
14. Halladay Company uses the percent-of-receivables method to estimate uncollectible receivables. Halladay Company has \$1,240,000 in Sales Revenue, \$180,000 in Accounts Receivable, and a debit balance of \$3,000 in Allowance for Doubtful Accounts. Halladay estimates that 4% of Accounts Receivable will be uncollectible. What should be the ending balance in Allowance for Bad Debts?
- A. \$49,600
 - B. \$7,200
 - C. \$10,200
 - D. \$4,200
15. Ortiz Company developed the following information about its inventories in applying the lower-of-cost-or-market (LCM) method in valuing inventories.

Product	Cost	Market
A	\$110,000	\$120,000
B	80,000	76,000
C	155,000	152,000

- After preparing the appropriate adjusting entry, what will be the balance in inventory?
- A. \$338,000
 - B. \$345,000
 - C. \$348,000
 - D. \$355,000

Short Answer (39 Points)

1. Consider the following information for Ramirez Company, which uses a perpetual inventory system:

	Transaction	Units	Unit Cost	Total Cost
January 1	Beginning Inventory	10	\$ 60	\$ 600
March 28	Purchase	20	66	1,320
May 1	Sold	25		
August 22	Purchase	20	70	1,400
October 14	Purchase	25	76	1,900
October 28	Sold	20		

Calculate the value of the company's ending inventory and total cost of goods sold for the year using each of the following inventory costing methods. (Round the per unit cost to 2 decimal places and then round your answers to the nearest whole dollar.)

	Cost of Goods Sold	Ending Inventory
FIFO		
LIFO		
Weighted Average		

2. During its first month of operations, Chipper Corp. purchased 6,000 baseball caps at a cost of \$5 apiece and sold all 6,000 caps on account with payment terms of 3/10, n/30 for \$25 each. A total of 2,600 of these caps were sold to customers who paid within the discount period; the other customers paid after the discount period had ended. Sales allowances totaling \$200 were granted to customers who were unhappy with the caps. Calculate the gross profit and the gross profit percentage for the month.

Gross Profit	
Gross Profit Percentage	

3. The following summarizes the aging of accounts receivable for Pedro Supplies, Incorporated as of July 31, 2024:

Number of Days Unpaid	Total Accounts Receivable	Historical % Uncollectible
Not yet due	\$ 126,500	2%
1 to 30 days past due	89,200	12%
31 to 60 days past due	53,600	18%
Over 60 days past due	31,800	35%

- a. The unadjusted balance of the Allowance for Doubtful Accounts of Pedro Supplies, Incorporated is a credit balance in the amount of \$28,947 on July 31, 2024. Prepare the required adjusting entry to record Bad Debt Expense for the month.

General Journal		
Account	Debit	Credit

- b. Oedro Supplies, Incorporated writes off \$3,081 of uncollectible accounts on August 15, 2024. Prepare the required adjusting entry to record the write-off.

General Journal		
Account	Debit	Credit

- c. Determine the account balance in the Allowance for Doubtful Accounts on August 15, 2024.

Allowance for Doubtful Accounts Balance	
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Problem 1: Journal Entries (55 Points)

Rivera Incorporated had the following transactions.

October 1	Sold \$10,000 of merchandise on account, 1/10, n/30 to Yankee Industries
November 1	Received a \$10,000, 90-day, 10% note from Yankee Industries to settle its \$10,000 unpaid balance
December 31	Accrued interest on the note. (Round your answer to the nearest whole dollar amount.)
???	Received the maturity value on the note's maturity date. (Round your answer to the nearest whole dollar amount.)

Prepare the required journal entries for Rivera Incorporated. Use the appropriate date in the journal entries

General Journal			
Date	Account	Debit	Credit

Sabathia Corp. uses a perpetual inventory system. Journalize the following credit purchase and sales transactions for this company using the gross method. Use the appropriate date in the journal entries.

<u>Date</u>	<u>Transaction</u>	<u>Amount</u>
Aug. 5	Purchased inventory on account with credit terms 2/10, n/30	\$30,000
Aug. 9	Paid for transportation of goods purchased	2,500
Aug. 10	Returned defective merchandise to the seller	2,000
Aug. 15	Paid for goods purchased on August 5, less the return	?
Aug. 20	Sold merchandise on account with credit terms 1/15, n/30, FOB destination	3,000
	Cost of goods sold	2,200
Aug. 27	Received a return of the goods sold on August 20	1,000
	Cost of goods returned	800
Aug. 28	Paid freight on the goods sold on August 20	100
Aug. 31	Received payment for merchandise sold on August 20, less the return	?

[illegible]
